OCR

Oxford Cambridge and RSA

Predicted Paper – Moderate Difficulty

A Level Economics

H460/01 Microeconomics

Time allowed: 2 hours

You can use:
- a scientific or graphical calculator

Please write clearly in black ink. **Do not write in the barcodes.**

Centre number ☐☐☐☐☐ Candidate number ☐☐☐☐

First name(s) ______________________________

Last name ______________________________

INSTRUCTIONS
- Use black ink. You can use an HB pencil, but only for graphs and diagrams.
- Write your answer to each question in the space provided. If you need extra space use the lined pages at the end of this booklet. The question numbers must be clearly shown.
- Answer **all** the questions in Section A, **one** question in Section B and **one** question in Section C.

INFORMATION
- The total mark for this paper is **80**.
- The marks for each question are shown in brackets **[ ]**.
- Quality of extended response will be assessed in questions marked with an asterisk (*).
- This document has **20** pages.

ADVICE
- Read each question carefully before you start your answer.

Section A

Read the stimulus material and answer **all** the parts of Question 1.

Is the UK coffee shop market becoming more competitive?

The UK branded coffee shop market has grown rapidly over the past two decades. By the end of 2023, there were over 9,500 outlets, with total market turnover of approximately £4.9bn. The 'Big Three' chains – Costa Coffee, Starbucks and Caffè Nero – have traditionally dominated the market, although their combined share has fallen from around 53% in 2015 to 28% in 2023.

Independent coffee shops have grown rapidly since 2020. Research suggests independents now account for roughly half of UK coffee shop outlets. High-street bakery Greggs has also expanded aggressively into coffee, selling over 150 million cups in 2023, while Pret A Manger's subscription scheme signed up over 1.25 million members.

Fig. 1
Selected UK coffee-market cost and wage indices (Jan 2020 = 100)

Date	National Living Wage (£/hr)	Coffee-shop prices (index)	Coffee-bean price (index)
Jan 2020	8.72	100	100
Jan 2021	8.91	102	106
Jan 2022	9.50	109	148
Dec 2023	10.42	128	172
Apr 2024	11.44	132	161

Rising Arabica and Robusta bean prices – driven by drought in Brazil, supply disruption in Vietnam, and higher shipping costs – have raised input costs for all coffee shops. Energy bills for UK cafes rose by over 60% between 2021 and 2023, and staff costs have also risen sharply as the National Living Wage (NLW) has increased each year.

Despite rising costs, entry to the coffee shop market remains relatively easy compared to other parts of the hospitality sector. Start-up costs for an independent cafe can be under £30,000, and consumers can readily switch between outlets. Product differentiation – through branding, décor, loyalty schemes, speciality drinks and quality of service – is therefore central to competition.

Some economists argue the UK coffee market now closely resembles monopolistic competition. Others point to the continued strength of the largest chains, long-term lease agreements on prime locations, and the buying power of large chains over suppliers as evidence that the market is not fully competitive.

Fig. 2
Estimated UK coffee shop market shares by number of outlets (2023)

Operator	Market share (%)
Costa Coffee	12
Starbucks	9
Caffè Nero	7
Greggs	5
Pret A Manger	4
Independents	50
Other chains	13

The UK Government has continued to raise the NLW to support low-paid workers, many of whom work in hospitality. Coffee shops have responded by raising drink prices, reducing staff hours, investing in self-order technology, and in some cases closing under-performing outlets.

1

(a) Explain what is meant by a 'concentration ratio'.

....

....

....

.... **[2]**

(b) Explain, using an appropriate diagram, the likely impact of rising coffee-bean prices on the market for branded coffee shop drinks.

....

....

....

....

....

....

....

....

....

....

....

....

....

....

....

....

.... **[4]**

(c) Refer to Fig. 1.

(i) Calculate, to one decimal place, the percentage change in the National Living Wage between January 2020 and December 2023.

....

....

....

.... **[2]**

(ii) Compare the trend in coffee-shop prices with the trend in coffee-bean prices over the period shown in Fig. 1.

....

....

....

.... **[2]**

(d) "rising Arabica and Robusta bean prices … have raised input costs." **Lines 15–18.**

Evaluate, using evidence from the stimulus material, the effectiveness of raising the National Living Wage in supporting the real incomes of coffee-shop workers.

.... **[8]**

(e)* Evaluate, using evidence from the stimulus material, the extent to which the UK coffee shop market can be considered to be an example of monopolistic competition. **[12]**

Section B

Answer Question **2 or** Question **3**.

2* UK markets such as hairdressing, takeaway restaurants and independent coffee shops are often given as examples of monopolistic competition.

Evaluate, using an appropriate diagram(s), whether firms in monopolistic competition are likely to be productively and allocatively efficient. **[25]**

OR

3* In April 2018 the UK Government introduced the Soft Drinks Industry Levy – a tax on manufacturers of sugary soft drinks. Similar sugar taxes are in place in over 50 countries worldwide.

Evaluate, using an appropriate diagram(s), the likely microeconomic effects of a sugar tax on the market for sugary drinks. **[25]**

Question No. ....

Section C

Answer Question **4 or** Question **5**.

4* In 2023 public transport fares in England rose by 5.9%. Some economists argue that public transport should be more heavily subsidised by the government, both to reduce car use and to support lower-income commuters.

Evaluate, using an appropriate diagram(s), whether the UK government should increase subsidies for public transport. **[25]**

OR

5* Between April 2020 and April 2024 the UK National Living Wage rose from £8.72 to £11.44 per hour – an increase of over 31%. Hospitality and retail, which employ large numbers of low-paid workers, have been particularly affected.

Evaluate, using an appropriate diagram(s), the likely impact of rising minimum wages on the UK labour market. **[25]**

Question No. ....

ADDITIONAL ANSWER SPACE

If you need extra space, continue your answer on these lined pages. Write the question number clearly at the start of your answer.

END OF QUESTION PAPER